

Australian Business Conditions and Confidence, March

#businessconditions

#confidence



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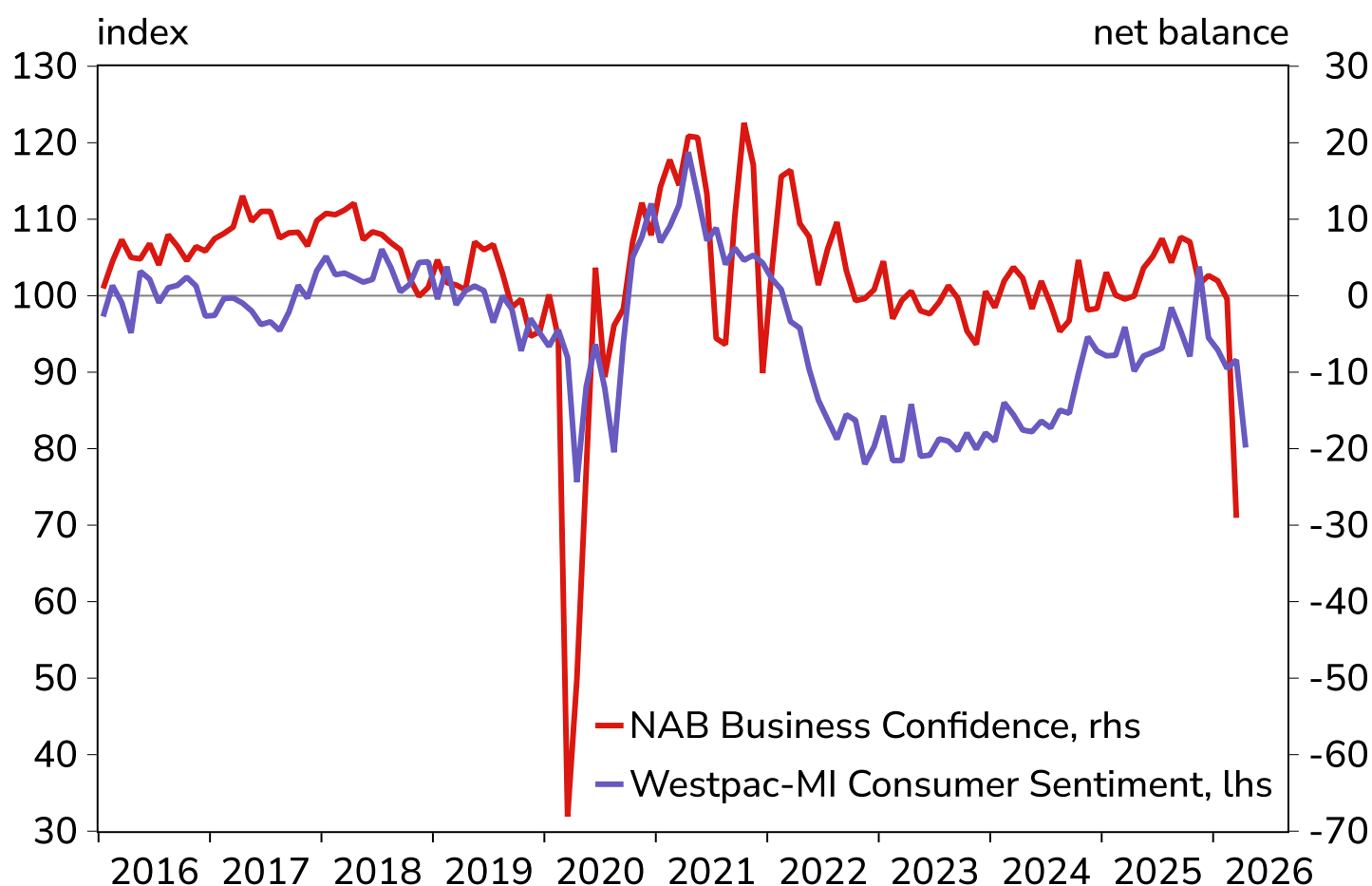
Business confidence collapsed in response to the outbreak of the Middle East conflict, while current assessments of business conditions remain stable, for now. Confidence -29pts to -29 / Conditions unchanged at 6.



The March NAB Business Survey was in the field from 24 to 31 March. It provides the first complete read on business conditions and confidence since the outbreak of the Middle East conflict, the subsequent surge in fuel prices, and dual RBA rate hikes in February and March. Against this backdrop, business confidence collapsed a staggering –29pts from a neutral reading in February, representing the largest monthly decline since the onset of the pandemic in March 2020, and exceeds the fall recorded during the global financial crisis in October 2008. Confidence now sits 34pts below its long-run average. The timing and magnitude of the decline mirrors the sharp deterioration in consumer sentiment that was already evident in later responses to last month’s survey. The –12.5% decline reported in [April’s Westpac-MI Consumer Sentiment survey](#), published earlier this morning, highlights just how sensitive sentiment is to the evolving policy and geopolitical backdrop.

Cost pressures intensified sharply in March. Purchase cost growth saw its largest monthly increase on record, with the quarterly growth pace more than doubling by 1.7ppt to 3.0%, placing it 1.9ppt above its long-run average. Final product price growth rose by a more modest, but still significant, 0.4ppt to 1.1%, suggesting firms are able to pass on some portion of the increase in fuel and oil-related input costs through prices. That said, the reported surge in costs was well in excess of prices, consistent with intensifying margin pressure and a weaker profitability reading in the month (–3pts to 1). Labour cost growth was unchanged at 1.5%.

Consumer vs Business Confidence

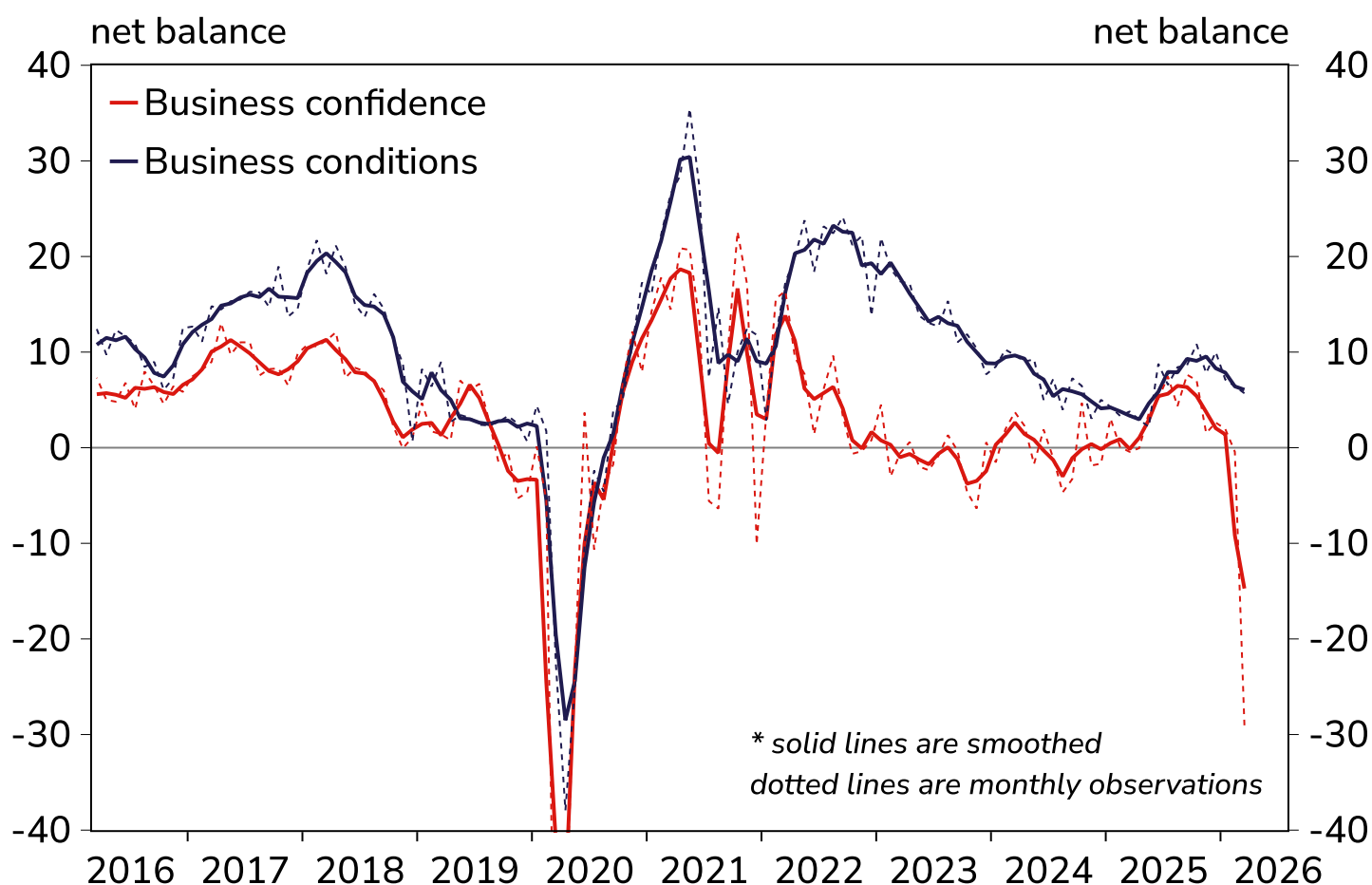


Source: NAB, Melbourne Institute of Applied Economic & Social Research, Macrobond, Westpac Economics

Despite unambiguous signs of anxiety, business conditions remained broadly steady through the first quarter of 2026. The headline business conditions index was unchanged in March at 6, 1pt below its long-run average and following an earlier reading of 7 in January. This suggests firms entered this latest period of heightened uncertainty with a degree of resilience. However, on a three-month rolling average basis, the survey continues to point to a gradual easing in momentum as the elevated readings recorded late last year roll out of the calculation. The extent to which the collapse in confidence starts to bleed into current assessments of conditions will be a key dynamic to monitor over the coming months.

Outside of the aforementioned fall in profitability, the other major sub-components were unalarming. The employment sub-index rebounded in March, rising +3pts to 6, re-establishing a foothold above its long-run average. This largely reflects the lagged response of labour demand to earlier improvements in activity. The outlook for the labour market has certainly deteriorated in light of the Middle East shock, and signs of significantly weaker labour demand are likely to emerge later this year. Trading conditions dipped modestly, down 1pt to 11, consistent with early indications of softer consumer spending from the Westpac-DataX card tracker for March.

Business conditions and confidence

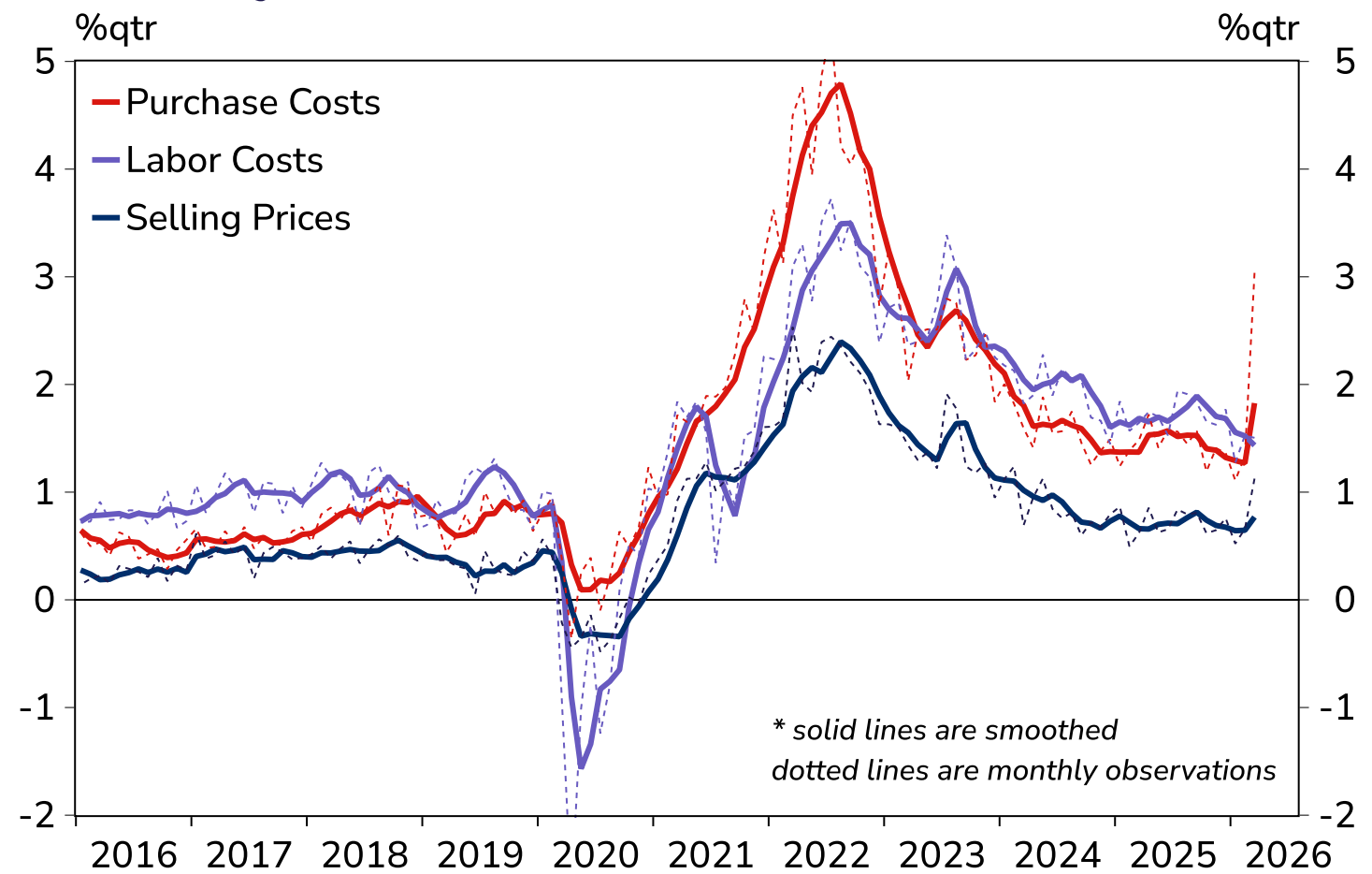


Source: NAB, Macrobond, Westpac Economics

Capacity utilisation edged higher in March to 83.1%, though this increase does little to alter the broader picture, with utilisation broadly stable on a three-month average basis. Capital expenditure eased slightly following its elevated February outcome, declining –2pts to 10, but remains 4pts above its long-run average, indicating continued if cautious investment intentions.

Among other indicators, forward orders weakened, falling -7pts to -1 and recording its first below-average reading of 2026, consistent with the collapse in confidence. Inventories rose a further 2pts to 7, though this likely reflects softer trading conditions in March following the strong build-up in forward orders reported in the previous month.

NAB Survey: Costs and Prices



Source: NAB, ABS, Macrobond, Westpac Economics

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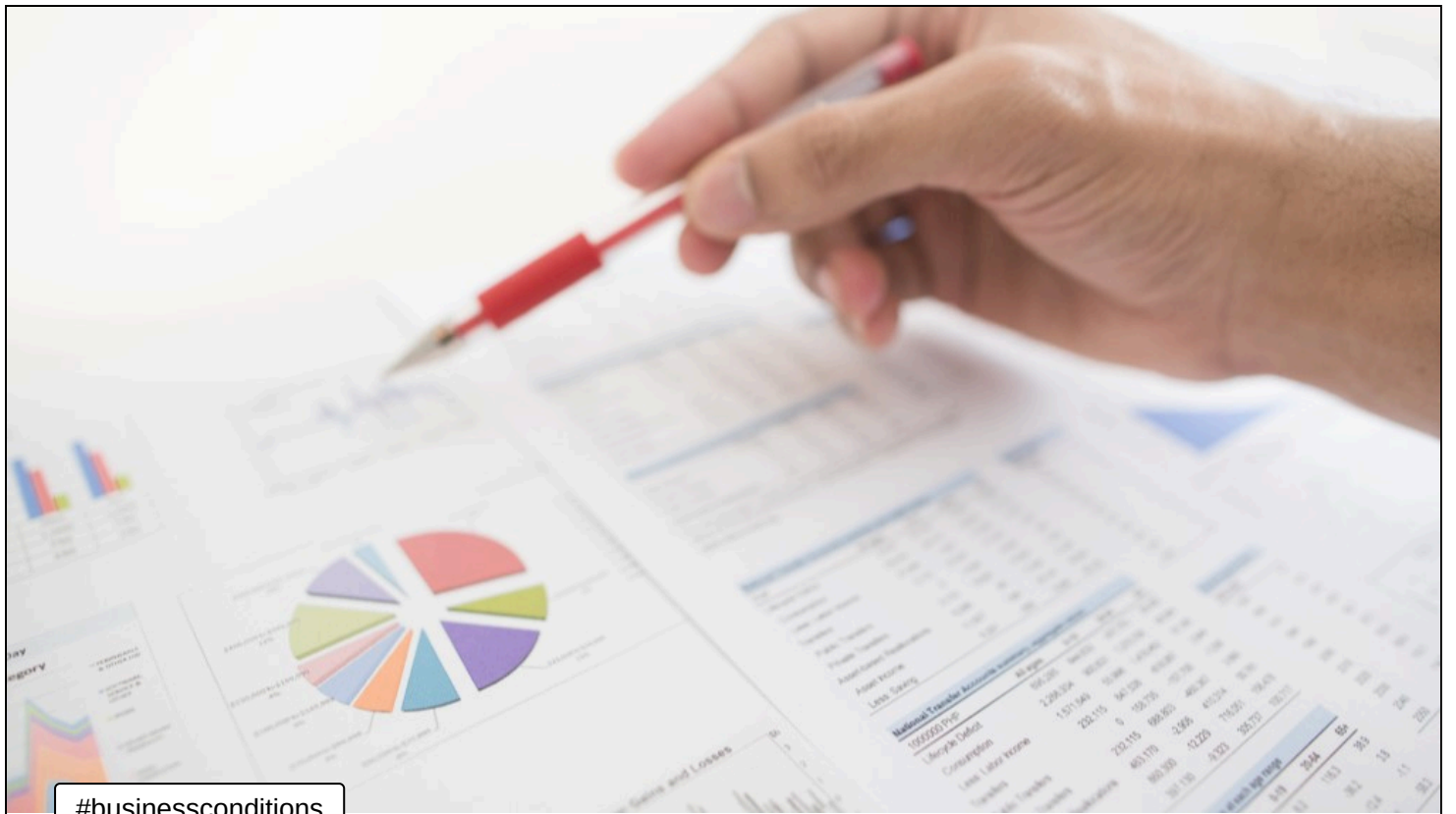


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